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**T**he 'aha' moment in history may be holding the rest of the world spellbound as the first African-American secures a four-year tenancy to the White House. But in India, a wave of nervousness is sweeping across tech and BPO companies, commonly called the IT and ITES sector. While the Sensex dived 511 points, the BSE IT index dipped 2.63 per cent on November 5. The reason is embedded in a campaign statement of Barack Obama. He said, "I will stop giving tax breaks to companies that ship jobs overseas, and I will start giving them to companies that create good jobs right here in America." Add to this the rise of protectionist ideas among policy makers in the US.

It is indeed early days but business process outsourcers and tech companies are working the numbers to get a sense of how serious his intent is. Already hit by the financial tsunami, the outsourcing industry is worried that American and other companies outsourcing jobs to India may cut back on orders resulting in loss of income, profit and jobs here in India. For the \$55-billion sector, that could be a serious setback coming as it does in the wake of the financial crisis.

While it is not clear if the President-elect meant only tech outsourcing or manufacturing too, it is the tech sector that is most anxious. Indeed, Nasscom chief Som Mittal tries to hide it in jest: "Perhaps, we could start carrying icons of Hanuman and even Saraswati and Lakshmi along with our laptops." The reference is obviously the much-reported factoid of Obama travelling with an idol of Hanuman but it reflects the sense of nervousness quite clearly.

And the facts give reason. The US accounts for 60 per cent of the earnings of tech giants like TCS, Infosys, Satyam and Wipro. In fact, TCS, recently acquired US-based Citigroup Global Services to expand its footprint in the US. The acquisition is accompanied by a \$2.5-billion take-or-pay contract from Citigroup. As of now they have not



# Source of ANXIETY

Obama's anti-outsourcing stance has rattled IT companies but they hope business sense will prevail over poll-time promises

heard anything but any major deviation or, worse, a U-turn in US policies could deal a body blow to Indian companies.

Of course, there is research to prove that outsourcing leads to efficiency. A paper published in June by the US National Bureau of Economic Research, by Canadian economists Runjuan Liu

and Daniel Treffer, described the hysteria over outsourcing as 'much ado about nothing' in their work 'American Jobs and the Rise of Service Outsourcing to China and India'.

Therefore, outsourcing is critical to any blueprint Obama may have for economic revival. As K.V. Subramanian,